



TCO & ROI MODEL

Magento today vs. Shopify Plus tomorrow.

Total cost of ownership — Magento today vs. Shopify Plus.

PREPARED BY

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FOR

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TARGET GO-LIVE

Late January 2027 · pre-Valentine's

The bottom line.

ANNUAL OPERATING SAVINGS

\$450,200

Recurring, Years 2-3

3-YEAR NET BENEFIT

\$1,021,100

After Year 1 implementation

PAYBACK PERIOD

~9 mo

From go-live

Current state.

- **Magento is getting more expensive every year.** 10+ years of custom code. Every site change needs a developer.
- **NetSuite + NewStore go live in August, with Shopify following.** If those slip, the late-January 2027 launch holds either way.
- **Launching January 2027 captures a full year of savings.** Push it later and that upside slips to 2028.

Full data set, monthly GMV breakdown, stack inventory, and source for every number → **Appendix** tab.

Magento today vs. Shopify Plus.

PROCESSING — ALREADY SAVING

Annual operating cost

LINE ITEM	MAGENTO (TODAY)	SHOPIFY PLUS (FUTURE)
License	\$ 165,000 /yr	\$ 2,300 /mo = \$175K/yr effective (VPF on \$50M)
Apps + extensions	\$ 84,000	\$ 36,000
Maintenance / middleware	\$ 0	\$ 24,000
Dev agency	\$ 450,000	\$ 75,000
In-house dev	\$ 0	<i>bundled — \$0</i>
Standard card rate	2.35 %	2.25 %
Amex / commercial rate	3.19 %	2.95 %
% of volume on Amex	16 %	16 %
VPF rate	—	0.35 %
Annual GMV	\$ 50,000,000	\$ 50,000,000
Implementation (one-time)	—	\$ 329,500

Annual operating cost — calculated

MAGENTO (TODAY)

License + hosting	\$165,000
Apps + extensions	\$84,000
Maintenance + Yottaa	\$0
Dev agency	\$450,000
In-house dev	\$0
Processing on \$50M	\$1,242,200

**Magento total / \$1,941,200
yr**

+ Implementation (one-time) —

SHOPIFY PLUS (FUTURE)

Plus license (VPF or base)	\$175,000
Future apps	\$36,000
SuperSync middleware	\$24,000
Dev agency (buffer)	\$75,000
In-house dev (50% freed)	\$0
Processing on \$50M	\$1,181,000

Plus total / yr \$1,491,000

+ Lazer implementation (one-time, Year 1) \$329,500

CATBIRD SAVES / YEAR

+\$450,200 / yr

ROI

Three-year picture.

Cost savings is only half the story. Plus also lifts revenue.

Annual revenue lift

Stacks on top of TCO savings

SHOP PAY CONVERSION LIFT

Shop Pay conversion lift **1.0 %**

Applied to annual GMV \$50,000,000

Annual lift from Shop Pay **+\$500,000**

SHOPIFY AUDIENCES (PAID ROAS)

Annual paid ad spend \$ **2,500,000**

ROAS improvement from Audiences **15 %**

Annual lift from Audiences **+\$375,000**

Total annual revenue lift

Shop Pay conversion uplift **+\$500,000**

Audiences ROAS uplift **+\$375,000**

REVENUE LIFT / YEAR **+\$875,000**

COMBINED ANNUAL BENEFIT — SAVINGS + REVENUE LIFT

+\$1,325,200 / yr

3-year projection

Year 1 absorbs the Lazer implementation cost (\$329,500 — \$289,500 build + \$40K discovery). Years 2 and 3 are clean recurring savings. Revenue lift stacks on top and is not modeled in the table below — see it above.

	YEAR 1 (2027)	YEAR 2 (2028)	YEAR 3 (2029)	3 - YEAR TOTAL
Magento (status quo)	\$1,941,200	\$1,941,200	\$1,941,200	\$5,823,600
Shopify Plus (operating + Lazer Year 1)	\$1,820,500	\$1,491,000	\$1,491,000	\$4,802,500
Net benefit on Plus	+\$120,700	+\$450,200	+\$450,200	+\$1,021,100

Pricing.

License

BASE

**\$2,300 /
mo**

3-year commit

VPF

0.35%

Of monthly GMV

CATBIRD AT \$50M

\$175K / yr

VPF applies

Card processing

Standard (Visa / MC / Discover)

2.25% + 30¢

84% of Catbird's volume.

Amex / commercial

2.95% + 30¢

16% of Catbird's volume.

Commercial terms

Final pricing — including any applicable software credits or VPF considerations — will be confirmed with your Shopify account team alongside the contract.

PATH TO LAUNCH

Working backward from a January 2027 launch — fully live for Valentine's Day.

**WK OF JUN 17 · THIS
WEEK**

TCO model review

Today's call: walk through the model. Confirm assumptions and align on the decision framework for partner selection.

WK OF JUN 24

Internal review · partner selection criteria locked

Catbird shares the TCO model + partner shortlist internally. Decision criteria locked: financial fit, configurator confidence, NetSuite integration. Reference checks complete.

WK OF JUL 1

Partner selection · paid assessment kickoff

Integration partner selected. Paid discovery kicks off (4–6 weeks): validates configurator + NetSuite + data migration.

WK OF JUL 8

Plus contract drafted

Shopify drafts the contract reflecting Catbird's commit term and GMV band. Initial draft to Catbird by Mon Jul 13.

JUL 13 – JUL 23

Contract review · 10 days

Catbird legal + finance review. Board / stakeholder review lands inside this window.

JUL 24 – JUL 29

Final review · signature prep

Internal sign-off complete. Signature blocks prepared.

WED JUL 30 · TARGET

Contract signed ✓

Contract executed. Shopify account team assigned. Selected partner moves from paid assessment into full build.

FRI AUG 30 · LATEST

Absolute latest signature window

Per the discovery sheet, Aug 30 is the latest date a signed contract still hits the late-January 2027 launch. The Jul 30 target gives a month of buffer for legal, finance, and board review.

Post-close — build to launch

2ND WK OF AUG

NetSuite + NewStore cutover

ERP + POS replatforming completes — Shopify build picks up from here on the planned sequence. If this cutover slips, the Shopify track keeps moving in parallel rather than waiting, protecting the late-January launch. SuperSync middleware gets tested in production once NetSuite is live.

AUG – DEC 2026

Build phase · ~17 weeks

Theme, configurator framework, NetSuite + SuperSync, data migration (27,045 SKUs + customer records), native promotions, SEO migration with 301 redirects. Avoids the late-July sale and Q4 retail peak by design.

JAN 2027

UAT · pre-launch QA

End-to-end testing. Payment + tax + 301 validation. 2 weeks of partner hypercare locked for go-live.

LATE JAN 2027 · PRE-VALENTINE'S

Go-live ✓

Public launch ahead of Valentine's. Full 2027 efficiency cycle captured. Annual savings begin compounding.

Q1 2027 FAST-FOLLOW

Loyalty + post-launch enhancements

Okendo, Rebuy, A/B testing, heatmapping, visualization tools layered in per Catbird's confirmed roadmap.

APPENDIX

The full data set behind the model.

Every number Catbird shared, every Shopify list-rate, and every source. Use this tab to verify any input in the calculator or to cross-check the assumptions with your team.

CATBIRD PROFILE — CONFIRMED DATA

What we're sizing this model for.

Every number below was confirmed by Catbird or comes from the implementation SOW.

ACTIVE SKUS

27,045

644 configurable ·
26,338 simple

AOV (ONLINE)

\$325

Confirmed by Catbird

MONTHLY SESSIONS

740K

Per month

ACTIVE CUSTOMERS
(12MO)

6.2M

Last 12 months

CONVERSION RATE

1.3%

Updated from sheet

CUSTOMIZABLE
JEWELRY SHARE

16%

Confetti · Memento ·
engraving

CART
ABANDONMENT

65%

~19K abandon / month

AMEX MIX

16% /
84%

Amex / standard

Monthly online GMV — last 12 months

PERIOD	JUN '25	JUL '25	AUG '25	SEP '25	OCT '25	NOV '25	DEC '25
GMV	\$2.43M	\$5.27M	\$3.53M	\$3.13M	\$4.29M	\$10.04M	\$7.82M

PERIOD	JAN '26	FEB '26	MAR '26	APR '26	MAY '26	TOTAL LTM	2025 ECOM
GMV	\$2.62M	\$2.62M	\$2.70M	\$3.08M	\$3.41M	~\$50.9M	~\$50M

Read the seasonality: Nov–Dec drives ~36% of annual GMV (Nov \$10M, Dec \$7.8M). Q1 (post-Valentine's) runs below baseline. **Plus migration timed for late Jan 2027 captures the full 2027 peak cycle** — pre-Valentine's drop drives initial volume, then Nov–Dec 2027 hits on the new platform.

The stack to integrate

- **ERP:** NetSuite (in flight — replacing Teamwork CHQ)
 - **POS:** NewStore (in flight — replacing Teamwork POS) · cutover 2nd week of August 2026
 - **Middleware:** SuperSync (NetSuite ↔ Shopify integration)
 - **Email / SMS:** Klaviyo · Attentive (both retain on Shopify)
 - **Search:** Searchspring today — Shopify S&D TBD
- **Reviews / UGC:** Yotpo
 - **Fraud:** Forter (future TBD)
 - **Gift cards:** Teamwork → Clutch (in flight)
 - **Customer service:** Kustomer
 - **Loyalty:** None today — Q1 post-launch fast-follow per Catbird (Okendo, Rebuy, A/B, heatmapping, visualization tool)

KEY ASSUMPTIONS

Every number, every source.

The full input layer behind the model. Catbird-specific data is from your discovery inputs and our working sessions. Shopify pricing is from the published US rate card. Magento figures reflect the costs Catbird shared.

2025 online GMV	\$50M	Confirmed by Catbird.
2026 planned GMV	\$55M (+10%)	Confirmed by Catbird.
AOV (online)	\$325	Confirmed by Catbird.
Conversion rate	1.3%	Confirmed by Catbird.
Monthly sessions	740,000	Confirmed by Catbird.
Active customers (LTM)	6.2M	Confirmed by Catbird.
Cart abandonment rate	65%	Confirmed by Catbird. ~19K users abandon per month — biggest single revenue-lift opportunity on Plus.
Amex mix	16% Amex / 84% std	Confirmed by Catbird. Lower than typical fine-jewelry mix — favorable for processing costs.

Magento license + hosting	\$165,000	Confirmed by Catbird.
Magento dev agency (annual)	\$450,000	Confirmed by Catbird. Includes in-house dev + maintenance (bundled).
Magento apps + extensions	\$84,000	Confirmed by Catbird.
Plus base license	\$2,300 / mo	Shopify Plus published US rate card. 3-year commit pricing.
Plus VPF rate	0.35%	Shopify Plus published US rate. Merchant pays higher of base $\times$ 12 or VPF $\times$ annual GMV.
Shop Payments standard rate	2.25% + 30¢	Shopify Plus US rate card. Card-not-present standard.
Shop Payments Amex / commercial	2.95% + 30¢	Shopify Plus US rate card. Premium card category.
Magento agency reduction on Plus	-75%	Conservative model. Plus customers typically reduce external dev agency spend 70-90% post-migration as marketing and ecom teams self-serve via admin.
Active SKU count	27,045	Confirmed by Catbird: 644 configurable + 26,338 simple.
Customizable jewelry share	16% of revenue	Confirmed by Catbird. Includes Confetti, Memento, engraving products.
Lazer implementation cost	\$329,500	Per the implementation SOW: \$289,500 build + \$40,000 discovery. 17-week build.
NetSuite + NewStore cutover	2nd week of Aug 2026	Confirmed by Catbird.
Latest commercial agreement date	Aug / Sep 2026	Latest contract signature window to hit the January 2027 go-live.
Agency selection target	2-3 weeks from Jun 10	Confirmed by Catbird.
Shopify migration go-live	Late January 2027	Confirmed by Catbird. Pre-Valentine's launch window.

LIVE VPF CALCULATOR

Variable Platform Fee — at any GMV.

Plus charges the **higher** of two amounts: a flat base license (\$2,300/month) or a percentage of monthly GMV (0.35%). At low GMV the base applies. As revenue grows, VPF takes over. See how the math plays out across GMV volumes.

Calculate your Plus license cost

Modeled at Catbird's annual GMV

INPUTS

Annual GMV \$ 50,000,000

VPF rate 0.35 %

Base license (monthly) \$ 2,300

CALCULATED

Base license (annual) \$27,600

VPF × GMV (annual) \$175,000

Which applies? VPF (higher)

VPF breakeven point \$7.9M annual GMV

Effective rate at this GMV 0.35%

ANNUAL PLUS LICENSE

\$175,000

VPF applies · \$14,583 / mo equivalent

BELOW \$7.9M ANNUAL

Base applies

\$2,300/mo base · \$27,600/yr.
Flat regardless of monthly
fluctuations.

\$7.9M – \$10M ANNUAL

VPF takes over

At \$10M: \$35,000/yr license
(vs. \$27,600 base). VPF
exceeds base.

\$10M+ ANNUAL ·
CATBIRD'S BAND

VPF scales
linearly

At \$50M: \$175K/yr. At \$100M:
\$350K/yr. Rate stays at 0.35%
no matter how big.

Why this is good news for Catbird: the rate stays at 0.35% as Catbird scales. You pay more in absolute dollars because you're selling more — but the percentage never moves against you. Most enterprise platforms scale their cut as you grow. Plus doesn't.

License cost at sample GMV bands

ANNUAL GMV	BASE × 12	0.35% × GMV	WHICH APPLIES	ANNUAL LICENSE
\$3M	\$27,600	\$10,500	Base	\$27,600
\$7.9M · breakeven	\$27,600	\$27,650	VPF (just)	\$27,650
\$20M	\$27,600	\$70,000	VPF	\$70,000
\$50M · Catbird 2025	\$27,600	\$175,000	VPF	\$175,000
\$55M · 2026 projected	\$27,600	\$192,500	VPF	\$192,500
\$75M · scale scenario	\$27,600	\$262,500	VPF	\$262,500

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Prepared for Catbird. Figures modeled at Catbird's \$50M (2025) annual GMV.